

They were neither trying to project a continuation of the trend or a reversal of the trend. They were only trying to predict the probable market direction over the next 24 hours.

How many models are there in your system?

There are over a thousand.

Since there are so many, could you give me an example of just one trend-neutral model to provide a better idea of what you mean? I assume giving away just one out of a thousand models wouldn't reveal a meaningful amount of the system.

The issue is that the models share common characteristics. It is hard to give you an example without jeopardizing our intellectual property.

Is your system discovery process a matter of seeing patterns in the market and then testing whether they worked, or is it a matter of coming up with theoretical hypotheses and then testing them to see if they worked?

I know what to grab.

[He gets up again in search of another book—this time it is one of mine, *Stock Market Wizards*. He flips through pages and then finds the spot he is looking for.]

This is really key. I wouldn't spend the time to do this unless it was really important.

[Woodruff begins reading my interview with David Shaw. He flips through a few excerpts and then reads the following response by Shaw to my question of how he can tell whether a market pattern represents something real as opposed to a chance occurrence.]

The more variables you have, the greater the number of statistical artifacts that you're likely to find, and the more difficult it will generally be to tell whether a pattern you uncover actually has any predictive value. We take great care to avoid methodological pitfalls associated with "overfitting the data." . . . Rather than blindly searching through the data for patterns—an approach whose methodological dangers are widely appreciated within, for example, the natural science and medical research communities—we typically start by formulating a